MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS)

FIRST SEMESTER EXAMINATION- MODEL QUESTION PAPER

(2024 ADMISION ONWARDS)

MG1DSCBLW100 – Corporate Regulations and Compliance

Duration: 1 hr Maximum Marks: 70

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A
Attempt any twenty questions.
Each question carries 1 mark.

1. Which type of company structure allows a single individual to incorporate a company with limited liability, making it a suitable option for entrepreneurs and small businesses? (Understand) (CO1)

a) LLP b) Private Company
c) One Person Company d) Holding Company

2.Which of the following is not a stage during the formation of a company? (Understand) (CO2)

a) promotion b) incorportion
c) liquidation d) capital subscription

3. What is the minimum number of directors required for a private company? (Understand) (CO3)

a) 1 **b) 2**
c) 3 d) 4

4.Which of the following contracts is signed by the promoter during the promotion of the company with a third party on behalf of the proposed company? (Understand) (CO2)

a) Preliminary contract b) Prospectus
c) MOA d) AOA

5.What is the meaning of 'Red Herring Prospectus': (Understand) (CO2)
a) It means a prospectus which include complete particulars of the quantum or price of the securities included therein.
b) It means a prospectus which does not include complete particulars of quantum or price of the securities included therein.
c) It means a prospectus issued by the Securities and Exchange Board of India (SEBI) to approve an IPO.
d) It means a prospectus which include the major particulars of the securities traded on the courses in last 12 months.

6.Preference shareholders would NOT carry preferential right with respect to: (Understand) (CO3)

a) Repayment, in the case of a winding up or repayment of capital
b) Payment of dividend
c) Voting right
d) Only a) and b) are correct.

7.How a public company may issue securities? (Understand) (CO4)
a) through a rights issue or a bonus issue b) to public though prospectus
c) through private placement **d) all of the above**

8. Which type of director is crucial for enhancing corporate governance standards and credibility of a company? (Understand) (CO3)
a) Additional director b) Executive director
c) Independent director d) Nominee director

9.A company can be registered online in India through (Understand) (CO6)
a) CII Portal **b) MCA Portal**
c) DSC Portal d) DIN Portal

10.Name the debentures that can be transferred by mere delivery.
(Understand) (CO4)
a) First debentures b) Second debentures
c) Registered debentures **d) Bearer debentures**

11.Under Companies Act 2013, the Company may be wound up by ___ and Voluntary winding up. (Understand) (CO4)
a) Debt Recovery Tribunal **b) National Company Law Tribunal**
c) Court d) Corporate creditor

12.The books containing the minutes of the proceedings of any general meeting of a company shall be kept at (Understand) (CO4)
a) Head Office b) Central Office
c) Registered office d) Where the meeting was held

13. All general meetings other than annual general meetings shall be:
(Understand) (CO4)
a) Board Meeting **b) Extra Ordinary General Meeting**
c) Ordinary Meeting d) Statutory Meeting

14.Every Company shall hold the first Board meeting within (Understand) (CO6)
a) 3 months of its incorporation **b) 30 days of its incorporation**
c) 15 days of its incorporation d) 4 months of its incorporation

15. In which of the following scenarios would a court be likely to lift the corporate veil?
(Understand) (CO2)
a) When a company is used to evade taxes
b) When a private company is converted to public Company
c) When an extra ordinary meeting is held
d) When a company is suffering losses for three consecutive years

16. Which of the following is a key provision of the Companies Act, 2013 related to corporate governance? (Understand) (CO4)
a) Mandatory appointment of independent directors
b) Regular disclosure of financial information
c) Establishment of audit committees
d) All of the above

17.Table F of the Companies Act 2013 gives a model of (Understand) (CO2)
a) B/S b) MOA
c) AOA d) P&L a/c

18.During any financial year Corporate Social Responsibility Committees of the Board shall be constituted by every company having (Understand) (CO6)
a) Turnover of ₹5,000 crores or more b) A Net Profit of ₹2 crores or more
c) Net Worth of ₹500 crores or more d) Any of the above

19.At a general meeting of a company a matter was to be passed by a special resolution. Out of forty members of the company, thirty voted in favour of the resolution, five voted against it. The remaining five members abstained from voting. As per the provisions of the Companies Act 2013, the chairman shall declare the motion as (Apply) (CO4)

a) Passed b) Invalid
c) Cancelled d) Accepted

20. Which of the following is not a reason for transmission of shares? (Understand) (CO6)
a) Pledge of Securities b) Death of Shareholder
c) Adjudicated Insolvency d) None of the above

21..... is the secure and authentic way to submit a document electronically (Understand) (CO6)
a) DIN **b) DSC**
c) CIN d) PIN

22. Who is the key individual responsible for ensuring compliance with corporate laws and regulations, as well as providing secretarial and administrative support to the board of directors? (Understand) (CO5)
a) CEO b) Managing Director
c) Executive Director **d) Company Secretary**

[1 x 20 = 20]

Part B
Answer any 25 Questions
Each question carries 2 marks

23. Which of the following Statement(s) is/are correct? (Understand) (CO4)
Statement I. The notice can be sent either by speed or registered mail or even through electronic means like email.
Statement II. A company is obligated to send the AGM notice to all the members of the company, including the legal representatives of a deceased member and the assignee of an insolvent member.

a) I Only
b) II Only
c) Both I and II
d) Neither I nor II

24. A petition for winding up can be made by (Understand) (CO4)
I. The Company
II. Any of the creditors
III. Any of the Contributories
IV. Registrar
V. Company Secretary

a) (i), (ii), (iii) and (iv) only
b) (i), (ii) and (iv) only
c) (i), (ii), (iii) (iv) and (v)
d) (ii) and (iv) only

25. Consider the following Assertion and Reason and answer the following.
(Analyse) (CO6)
Assertion: A company ceases to exist as a corporate entity on winding up.
Reason: Assets of a company are realised and Liabilities are set off in winding up.

a) Both Assertion are Reason are Correct
b) Assertion is wrong, but reason is correct
c) Both Assertion and Reason are incorrect
d) Assertion is correct, but reason is incorrect

26. Corporate Social Responsibility is discussed in which of the following sections of Companies Act, 2013? (Understand) (CO6)
a) Section 120
b) Section 100
c) Section 135
d) Section 99

27. Which of the following statement(s) is/are correct? (Understand) (CO4)
Statement I. All companies are required to hold AGMs except for one-person companies (OPCs).
Statement II. An EGM is a yearly gathering of a company's shareholders and directors to discuss and address key business matters.
a) I Only
b) II Only
c) I and II
d) Neither I nor II

28. Arrange in chronological order, the procedure for conducting an Annual General Meeting.
(Understand) (CO4)
(i). Minutes of the AGM
(ii). Notice of the Meeting
(iii). Convene a Board Meeting
(iv). Convene Annual General Meeting

a) (i) – (iii) - (ii) - (iv)
b) (iii) – (ii) – (iv) – (i)
c) (iv) – (iii) - (ii) - (i)
d) (i) - (ii) - (iii) - (iv)

29. Which of the following pair(s) is/are correct with regards to maximum number of members?
(Understand) (CO1)
(i). Public Company – 200

(ii). Private Company – 10
(iii). One Person Company – 5
a) (i) Only
b) (i) and (ii) only
c) (ii) Only
d) Neither (i), (ii) nor (iii) is correct

30. Who among the following is/are executive directors? (Understand) (CO3)
(i) Managing Director
(ii) Whole Time Director
(iii) Nominee Director
a) (i) Only
b) (i) and (ii) only
c) (ii) Only
d) Neither (i), (ii) nor (iii) is correct

31. Which of the following are true about a company secretary? (Understand) (CO5)
(i) An in-house legal expert; a compliance officer of the Company
(ii) An expert in corporate laws, securities laws & capital market and corporate governance
(iii) An executive director of the company
(iv) Responsible for all regulatory compliances of company
a) (i) (ii) and (iii) only
b) (i) and (iv) only
c) (i) (ii) and (iv) only
d) (ii) and (iv) only

32. Consider the following assertion and reason and choose the appropriate answer.
(Understand) (CO2)
Assertion: The capital clause of a company's memorandum of association specifies the maximum capital that can be issued to shareholders.
Reason: The capital clause also details the division of this capital into shares of a fixed amount each.
a) Both Assertion and Reason are correct and Reason is the correct explanation for Assertion.
b) Both Assertion and Reason are correct, but Reason is not the correct explanation for Assertion.
c) Assertion is correct, but Reason is incorrect.
d) Both Assertion and Reason are incorrect.

33. Consider the following assertion and reason and choose the appropriate answer.
(Understand) (CO1)
Assertion: Section 8 companies are primarily formed to generate profits for their shareholders.
Reason: Section 8 companies are non-profit organizations that are established to promote social causes.
a) Both Assertion and Reason are correct and Reason is the correct explanation for Assertion.
b) Both Assertion and Reason are correct, but Reason is not the correct explanation for Assertion.
c) Assertion is correct, but Reason is incorrect.
d) Assertion is wrong, but Reason is correct.

34. Which of the following is/are the true about promoter of a company? (Understand) (CO2)
(i). A promoter is a person/entity who conceives the idea of company formation.
(ii). Firms, Association of persons or a company cannot become a promoter of a company.
(iii). The promoter helps to establish and run the company, but the company shareholders are the actual owners of the company.

a) (i) (ii) and (iii)
b) (i) and (iii) only
c) (i) and (ii) only
d) (ii) and (iii) only

35. Which of the following pairs is/are correct? (Understand) (CO1)
(i). Doctrine of Ultra vires – Internal Affairs
(ii). Doctrine of Internal Management – Imputed Knowledge
(iii). Doctrine of Constructive Notice – Beyond the powers

a) (i) only
b) (iii) Only
c) (ii) only
d) Neither (i), (ii) nor (iii) is correct

36. Which of the following pairs is/are correct? (Understand) (CO4)
(i). Red Herring Prospectus – Used for book building Process
(ii). Shelf Prospectus - A prospectus that can be used repeatedly for multiple offerings within a certain period.
(iii). Abridged Prospectus - A brief document that summarizes the key information about a company for potential investors
(iv). Deemed Prospectus - Prospectus used in the context of a rights issue.
a) (i) and (ii) only
b) (i), (ii) and (iii) only
c) (i) (ii) (iii) and (iv)
d) (i), (ii) and (iv) only

37. Which of the following statement(s) is/are incorrect? (Analyse) (CO6)
Statement I. Transfer of shares refers to the intentional transfer of title of the shares between the transferor (one who transfers) and the transferee (one who receives).
Statement II. Transfer of shares takes place due to the operation of law that is when the holder is no more or has become lunatic or insolvent.
a) I Only
b) II Only
c) Both I and II
d) Neither I nor II

38. According to section 2(55) of the companies act, which of the following are the modes of acquiring membership in a company? (Understand) (CO6)
(i). by subscribing to the Memorandum of Association (deemed agreement)
(ii). by agreeing in writing to become a member
(iii). by being the director of the company
(iv). by holding shares of a company and whose name is entered as beneficial owner in the records of a depository
a) (i) and (ii) only
b) (i), (ii) and (iii) only
c) (i), (ii) (iii) and (iv)
d) (i), (ii) and (iv) only

39. Which of the following statement are true? (Remember) (CO1)
Statement I. The Companies Act 1956 was enacted on the recommendations of the Bhaba Committee.
Statement II. The Companies Act, 1956 was a Parliamentary Act in India that regulated the formation, financing, functioning, and winding up of companies
a) I Only
b) II Only
c) I and II
d) Both I nor II

40. Which of the following statement are true? (Understand) (CO6)
Statement I. Digital Signature Certificates (DSC) are the digital equivalent to certificate of incorporation.
Statement II. Companies use DSC to electronically file various returns and forms with regulatory authorities like the Ministry of Corporate Affairs (MCA) and the Income Tax Department

a) I Only
b) II Only
c) I and II
d) Both I nor II

41. Arrange in proper sequence the steps involved in voluntary winding up (Understand) (CO6)
(i). Notification of resolution
(ii). Final Report and Meeting
(iii). Declaration of Solvency
(iv) Shareholder's Approval
a) (i) – (ii) – (iii) - (iv)
b) (ii) – (i) – (iii) – (iv)
c) (iii) – (iv) – (i) – (ii)
d) (i) – (iii) – (iv) – (ii)

42. A CSR committee of the board is mandatory for which all companies? (Understand) (CO6)
(i). Companies having net worth of Rs. 500 crore or more
(ii). Companies having turnover of Rs. 1000 crore or more
(iii). Companies having net profit of Rs. 5 crore or more
a) (i) only
b) (i) and (ii) only
c) (i) and (iii) only
d) (i), (ii) and (iii)

43. Consider the following Assertion and Reason (Understand) (CO2)
Assertion: The articles of association sets out the regulations for internal management of the company.
Reason: Articles of association defines the power of its officers, establishes a contract between the company and its members.
a) Both Assertion and Reason are correct and Reason is the correct explanation for Assertion.
b) Both Assertion and Reason are correct, but Reason is not the correct explanation for Assertion.
c) Assertion is correct, but Reason is incorrect.
d) Both Assertion and Reason are incorrect.

44. Which of the following statements is/are correct? (Understand) (CO6)
Statement I: Any member who is entitled to attend and vote in a company meeting can appoint a proxy.
Statement II: Proxy refers to the instrument/ document by which such an individual is appointed as a proxy.

a) I Only
b) II Only
c) Both I and II
d) Neither I nor II

45. Which of the following pairs is/are correct? (Understand) (CO4)
(i). Cumulative Preference Shares – Arrears in dividend are paid in the subsequent years.